PROJECT 1 | EQUITY RESEARCH | VALUATION | PYTHON + EXCEL

European Luxury Quality & Valuation Screen

A transparent peer ranking of Ferrari, LVMH, Hermes, Moncler and Brunello Cucinelli, plus an illustrative Ferrari DCF.

Hermes leads the operating-quality screen, while Ferrari offers the strongest combination of high margins and recent momentum. The model deliberately separates company quality from stock attractiveness.

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Deliverables	Excel model, executed Python notebook, source data, slide deck and written report

Disclaimer: This is an independent educational project. Reported figures are attributed to official sources; assumptions are explicitly identified. It is not investment advice and is not endorsed by any company named.

Executive summary

Hermes 89.0	Ferrari 66.1	EUR 200	Quality != price
QUALITY LEADER Rank 1	STRONGEST CHALLENGER Rank 2	ILLUSTRATIVE FERRARI DCF Value/share	KEY CAVEAT No market valuation

Research question

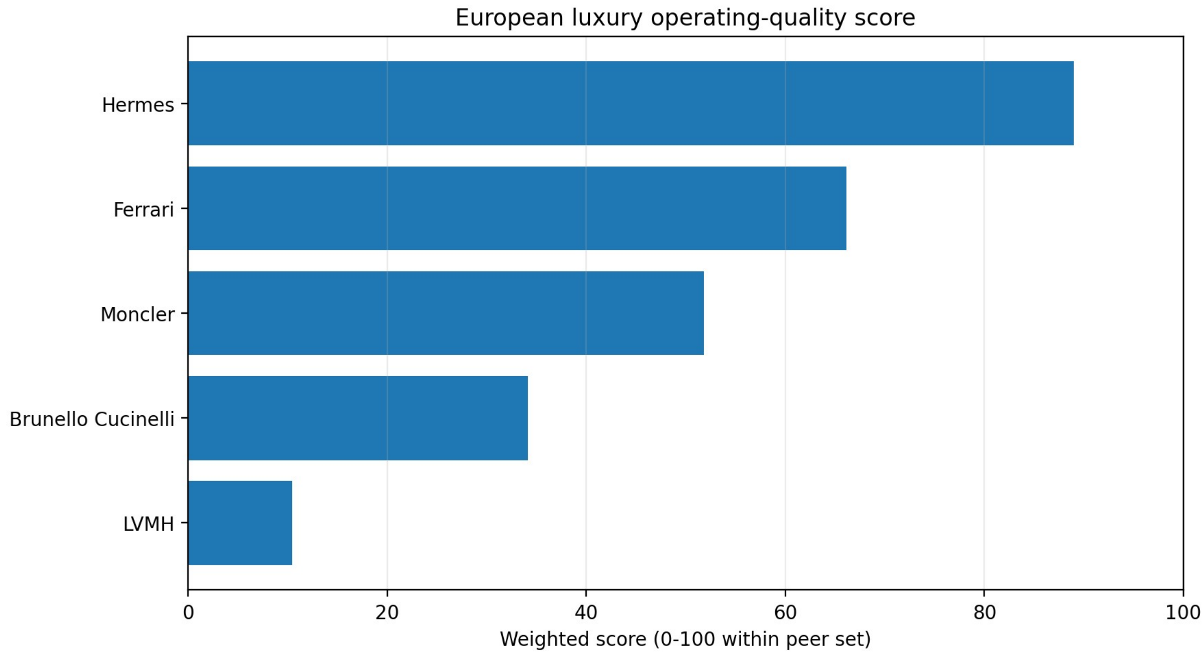
Which of five European luxury companies shows the strongest operating quality based on growth, profitability, balance-sheet resilience and margin momentum?

Method

Metric	Weight	Interpretation
Revenue CAGR, 2023-2025	25%	Sustained growth
FY2025 EBIT margin	25%	Pricing power and operating quality
FY2025 net margin	20%	Bottom-line conversion
Net cash / revenue	15%	Balance-sheet resilience
EBIT-margin change	15%	Direction of momentum

Scores are min-max scaled within a five-company peer set. They are sensitive to outliers and should support - not replace - fundamental judgment.

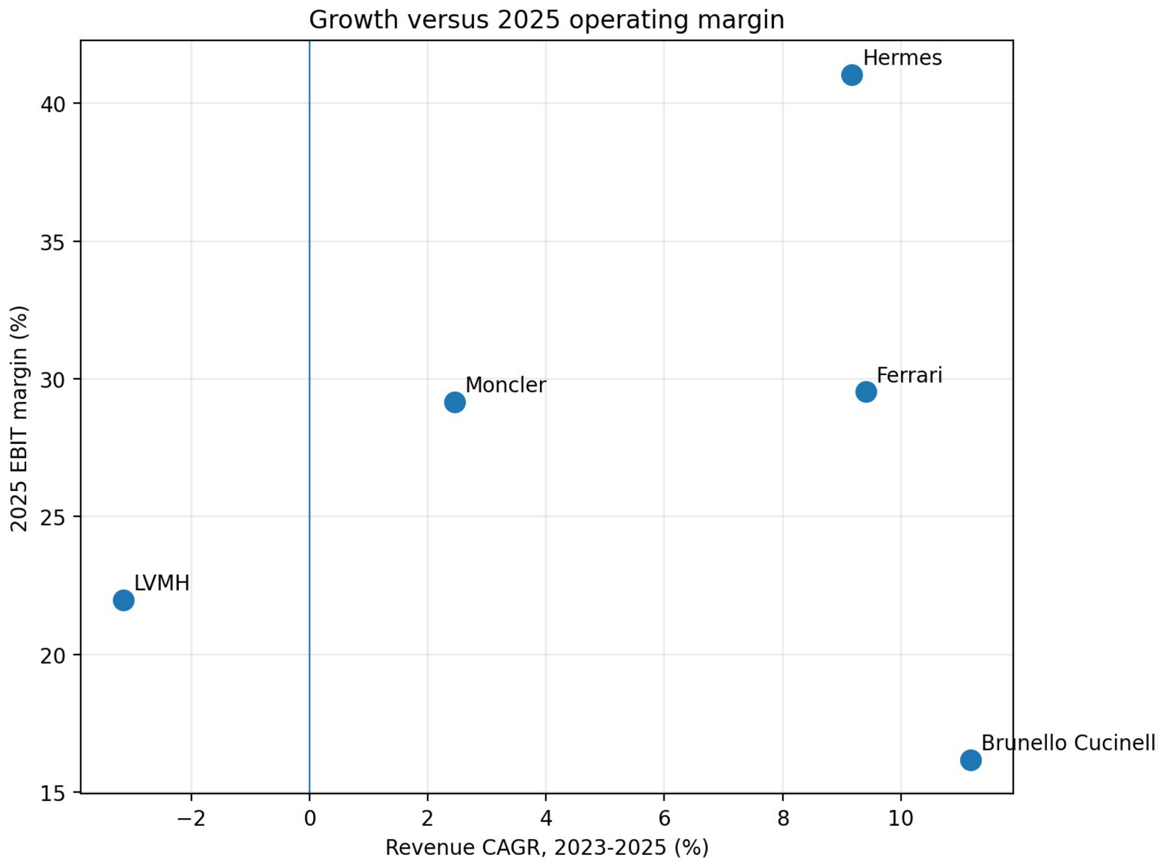
Peer ranking and core findings



Operating-quality score relative to the five-company peer set.

- Hermes ranks first due to a 41.1% FY2025 recurring operating margin, a 28.3% net margin and a large net-cash balance.
- Ferrari ranks second: revenue grew at approximately 9.4% CAGR from 2023 to 2025, FY2025 EBIT margin reached 29.5%, and margin momentum was positive.
- Moncler remains cash-rich and profitable but showed softer FY2025 growth and EBIT momentum.
- Brunello Cucinelli leads revenue growth but has lower margins and rising net debt after an investment-heavy period.
- LVMH retains scale and strong cash generation, but its revenue and recurring operating margin declined through 2025.

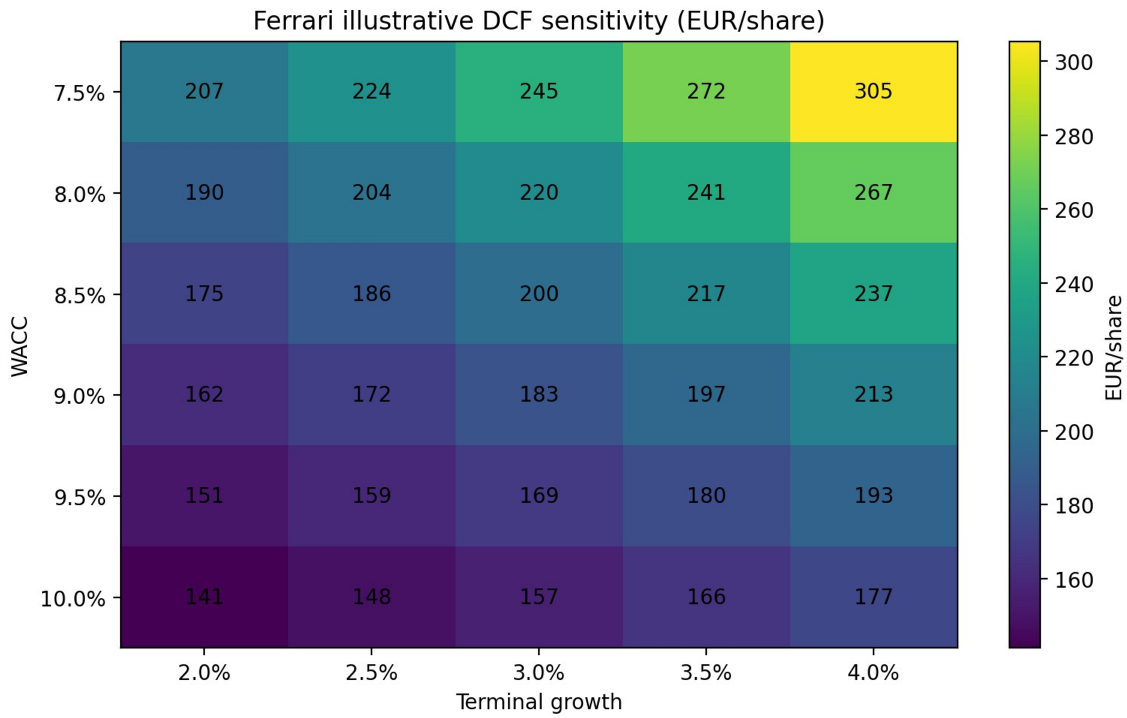
Fundamental map and valuation case



Revenue CAGR, 2023-2025 versus FY2025 EBIT margin.

Illustrative Ferrari DCF

The DCF starts from FY2025 industrial free cash flow of EUR1,538m. The forecast applies annual FCF growth of 10%, 9%, 8%, 7% and 6%, with an 8.5% WACC and 3.0% terminal growth. Net industrial debt of EUR32m and an illustrative 179m diluted shares are used in the equity bridge.



Illustrative sensitivity in EUR/share. This is not a target price.

Limitations, interview narrative and next steps

Limitations

- Recurring operating profit is not perfectly comparable to reported EBIT across issuers.
- Net cash and free-cash-flow definitions differ; timing effects can materially change one-year cash flow.
- The peer set is intentionally small and therefore sensitive to outliers and weighting choices.
- The ranking excludes market prices, forward expectations, FX, governance and portfolio constraints.
- The Ferrari DCF is intentionally simple and does not separately forecast revenue, margins, capex, working capital or taxes.

Thirty-second interview pitch

"I compared five European luxury companies using a transparent quality score, then separated operating quality from valuation. Hermes ranked first, while Ferrari combined high margins with stronger recent momentum. I then built a simple DCF to show how sensitive value is to WACC and terminal growth."

Next analytical version

- Normalize leases, pensions and exceptional items.
- Add forward consensus and valuation multiples.
- Build segment-level forecasts and probability-weighted scenarios.
- Stress-test score stability under alternative peer sets and weights.

Sources

Ferrari FY2025 results: FY2023-FY2025 revenue, EBIT, net profit and industrial FCF
https://www.ferrari.com/en-EN/corporate/articles/ferrari-n-v-2025-results

LVMH key figures: Revenue, recurring operating profit, net profit, FCF and net debt
https://www.lvmh.com/en/investors/key-figures

Hermes publications: Annual revenue, recurring operating income, net profit, adjusted FCF and net cash
https://finance.hermes.com/en/publications/

Moncler key figures: Revenue, EBIT, net result, FCF and net cash
https://www.monclergroup.com/en/investors/key-figures

Brunello Cucinelli financial results: Revenue, profitability and net debt comparatives
https://investor.brunellocucinelli.com/en/financial-results